

Overlay Timeframe Highlight

Indicators & Analysis / Chart Overlays | intermediate | 6 min read | DeepCharts Help Center | August 24, 2026

The Overlay Timeframe Highlight indicator visually highlights higher timeframe candles on a lower timeframe chart. Rather than drawing full candles like Overlay Timeframe Candlestick, it shades each higher timeframe segment, can project its high/low as target lines, and can print volume or trade summaries per segment.

What it is

The indicator aggregates your chart's lower timeframe bars into higher timeframe segments and highlights each segment visually. Optionally it projects high/low target lines from each higher timeframe candle and displays summary statistics such as total volume for the highlighted range.

It answers "which bigger candle does this price action belong to, where are that candle's extremes, and how much business was done inside it?"

When to use it

- You want higher timeframe structure visible without switching charts.
- You track the high/low ranges of larger candles as intraday reference levels.
- You want per-segment volume or trade summaries to see which higher timeframe candles carried real participation.
- You mark higher timeframe targets — projected highs and lows the market may return to.

Quick start

1. Open the indicator menu on your chart and add **Overlay Timeframe Highlight**.
2. Open the indicator settings.
3. In the General group, set **Param type** to the timeframe type (for example Minute, Hour or Day) and **Param 1** to the value — for example an hourly highlight on a 5-minute chart.
4. Under Chart Area, choose **Horizontal** to render the highlights on the price chart.
5. In Plot, confirm **Enable** is on and set **Body opacity** low enough that price bars stay readable.
6. Optionally switch on **Target enabled** in the Range Target group to project each candle's high/low as lines, and **Enable Summary** to print per-candle volume data.
7. Apply the settings.

[SCREENSHOT PLACEHOLDER] A 5-minute chart with Overlay Timeframe Highlight shading alternating hourly segments, projected high/low target lines extending right from the last completed hourly candle, and a volume summary printed above each segment `dc-en-overlay-timeframe-highlight-01.png`

How to read it

- **Segment boundaries** — each shaded block is one higher timeframe candle. Price rotating inside one block is balance on the higher timeframe; consecutive blocks stepping up or down is trend.
- **Highlight color** — up/down coloring shows the higher timeframe bar's direction at a glance. With **Color based on delta** enabled, color instead reflects order flow delta inside the segment, so a price-up but delta-down segment flags weak participation (see Orderflow 101: Bid, Ask, Aggressor and Delta).
- **Target lines** — projected highs and lows of higher timeframe candles act as reference levels; the market frequently revisits and reacts at prior higher timeframe extremes.
- **Summaries** — compare volume between segments: a breakout segment on thin volume deserves more suspicion than one on heavy volume.

Settings reference

[SCREENSHOT PLACEHOLDER] Overlay Timeframe Highlight settings dialog showing all groups — Chart Area, General, Color, Plot, Range Target and Summary — with Target enabled and Enable Summary switched on
dc-en-overlay-timeframe-highlight-02.png

Chart Area

Setting	What it does
Horizontal	Renders the highlights directly on the price chart.
Vertical	Displays the highlight vertically, where supported.
Panel selector	Chooses which chart panel displays the overlay.

General

Setting	What it does
Param type	Defines the timeframe type used for highlighting (for example Minute, Hour, Day).
Param 1	Specifies the primary timeframe value (for example 5 for a 5-minute highlight).
Param 2	Optional secondary parameter, used depending on the selected timeframe type.

Color

Setting	What it does
Color based on delta	Changes the highlight color dynamically based on order flow delta instead of bar direction.
Color mode	Determines how the color applies — fading with intensity or solid.
Std dev for coloring	Controls sensitivity when color is based on statistical deviation (fade mode).
Up bar	Highlight color for bullish higher timeframe candles.
Down bar	Highlight color for bearish higher timeframe candles.

Plot

Setting	What it does
Enable	Toggles the highlight overlay on or off.
Border width	Controls the thickness of the candle border highlight.
Body opacity	Adjusts the transparency of the candle body highlight.
Shadow opacity	Adjusts the transparency of the candle wick highlight.
Show background	Fills the full background of the higher timeframe candle's range.

Range Target

Setting	What it does
Target enabled	Enables high/low range projection lines from the higher timeframe candle.
High color / Low color	Colors of the projected high and low lines.
Line width	Thickness of the target lines.

Setting	What it does
Line style	Line appearance (solid, dash and similar).
Extend line to left	Extends the target lines backward across previous bars.
Show text	Displays label text on the target lines.
Text color	Label text color.
Text size	Label font size.

Summary

Setting	What it does
Enable Summary	Displays higher timeframe summary information on the chart.
Volume Summary	Shows total volume for the highlighted candle.
Trade Summary	Displays trade-related metrics, where available.
Text Color	Summary text color.
Ask Color / Bid Color	Colors used for ask and bid values in the summary.
Summary text size	Font size of the summary data.
Summary to view	How many higher timeframe candles are included in the summary display.

Tips and common mistakes

- **Keep opacity low.** High **Body opacity** with **Show background** enabled can wash out the price bars; the highlight should frame the action, not hide it.
- **The current segment is still forming** — its color, range and summary keep updating until the higher timeframe candle completes.
- Limit **Summary to view** to a handful of candles; printing summaries for every segment on screen clutters the chart quickly.
- Delta-based coloring depends on your feed providing bid/ask classified data — see Different Types of Input Data for Indicators if the coloring never varies.
- Use this indicator for ranges, targets and participation; use Overlay Timeframe Candlestick when you want the actual higher timeframe candle shapes. Many traders run both.

Related articles

- Overlay Timeframe Candlestick
- Understanding Market Structure and Sessions (RTH/ETH, Rollover)
- Orderflow 101: Bid, Ask, Aggressor and Delta
- Different Types of Input Data for Indicators
- How to Change the Layout of Indicators